

25CV01655 Larry Lawson, et al., v. John Coggi, et al.

County: santa-barbara

Division: Civil Law & Motion

Department: 3 SB-Anacapa

Hearing date: 2026-07-01

Motion: Motion of Plaintiffs for Leave to File First Amended Complaint

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Case Number

25CV01655

Case Type

Civil Law & Motion

Hearing Date / Time

Wed, 07/01/2026 - 10:00

Nature of Proceedings

Motion of Plaintiffs for Leave to File First Amended Complaint

Tentative Ruling

For Plaintiffs Larry Lawson and Nancy Duong aka Nancy Lawson: Jeffrey S. Sanger, Miguel A. Avila, Sanger, Hanley, Sanger & Avila, LLP

For Defendant Melinda Coggi: Philip D. Dracht, Dracht Law, PC

RULING

For the reasons set forth herein, the motion of plaintiffs Larry Lawson and Nancy Duong aka Nancy Lawson for leave to file an amended complaint is denied.

Background

On March 18, 2025, plaintiffs Larry Lawson and Nancy Duong aka Nancy Lawson (collectively, the Lawsons) filed their complaint in this action against defendants John Coggi and Melinda Coggi (collectively, the Coggis).

As alleged in the complaint:

The Lawsons and the Coggis, respectively, own real property in the Shadow Hills Single Family Lot Owners Association (Shadow Hills SFLOA) in Santa Barbara. (Complaint, ¶ 7.)

On January 19, 2019, the Lawsons and the Coggis sued the Shadow Hills SFLOA and others alleging wrongs committed in their housing development (the Shadow Hills Action). (Complaint, ¶ 8.) At about the same time, the Lawsons and the Coggis entered into an oral agreement by which the Lawsons agreed to pay some or all of the Coggis' legal fees and costs in connection with the Shadow Hills Action. (Complaint, ¶ 9.)

In May 2020, the Lawsons and the Coggis entered into a written agreement (Repayment Agreement) memorializing the oral agreement for the repayment of fees. (Complaint, ¶ 10 & exhibit A).

The Shadow Hills Action was settled by a settlement agreement on January 7, 2025. (Complaint, ¶ 13.)

The Lawsons advanced and paid \$493,847.63 in legal fees billed to the Coggis. (Complaint, ¶ 14.) The Coggis have paid only \$15,000 to the Lawsons, in May 2024, leaving an unpaid balance of \$478,847.63. (Ibid.)

In this action, the Lawsons now assert one cause of action for breach of contract based upon this nonpayment.

On August 26, 2025, the Lawsons requested, and the court entered, default against defendant John Coggi.

On September 3, 2025, Melinda Coggi (hereafter, Coggi) filed her answer to the complaint, generally denying the allegations thereof and asserting 14 affirmative defenses.

On November 12, 2025, the court held a case management conference and set a trial date for September 2, 2026. This trial date was confirmed at a case management conference held on April 8, 2026. In the case management conference statement filed by the Lawsons on March 24, 2026, the only motion stated as contemplated was a motion for summary judgment or summary adjudication.

On May 15, 2026, the Lawsons filed this motion for leave to file a first amended complaint. The motion is opposed by Coggi.

Analysis

"The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code." (Code Civ. Proc., § 473, subd. (a)(1).)

"A motion to amend a pleading before trial must:

"(1) Include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments;

"(2) State what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and

"(3) State what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located." (Cal. Rules of Court, rule 3.1324(a).)

"A separate declaration must accompany the motion and must specify:

"(1) The effect of the amendment;

"(2) Why the amendment is necessary and proper;

"(3) When the facts giving rise to the amended allegations were discovered; and

"(4) The reasons why the request for amendment was not made earlier." (Cal. Rules of Court, rule 3.1324(b).)

Coggi argues that the motion seeks to expand a simple breach of contract action into a "sprawling fraud and asset-tracing suit" (Opposition, at p. 1) with a September 2 trial date, creating substantial prejudice to Coggi.

"Although courts are bound to apply a policy of great liberality in permitting amendments to the complaint at any stage of the proceedings, up to and including trial [citations], this policy should be applied only '[w]here no prejudice is shown to the adverse party....' [Citation.] A different result is indicated '[w]here inexcusable delay and probable prejudice to the opposing party' is shown. [Citation.]" (Magpali v. Farmers Group, Inc. (1996) 48 Cal.App.4th 471, 487.)

In addition to a variety of changes in non-substantive language, the proposed first amended complaint (PFAC) asserts three new causes of action: violation of the Uniform Voidable Transactions Act (UVTA, Civ. Code, § 3439 et seq.), financial elder abuse (Welf. & Inst. Code, § 15610.27), and contribution. These new causes of action are based on three entirely different claims.

The claim for violation of the UVTA is based on allegations that the Coggis transferred assets, including encumbrances on real and personal property in 2022 and 2023 in favor of a Nevis limited liability company (NOV). (PFAC, ¶¶ 19-28, 36-42.) NOV was allegedly formed by the Coggis for the purpose of hiding or transferring assets. (PFAC, ¶ 5.)

In support of the motion, counsel for the Lawsons states that after substituting in as counsel in January 2026, counsel discovered NOV, the recorded deed of trust, and UCC-1's filed in 2022 and 2023. (Avila decl., ¶¶ 2-6.) These transactions were not known to the Lawsons at the time the lawsuit was filed. (Avila decl., ¶ 7.)

The claim for financial elder abuse is based on allegations that plaintiff Larry Lawson, an elder, was deprived of property by the Coggis entering into the Repayment Agreement without the intent to repay the amounts stated in the agreement. (PFAC,

¶¶ 44-46.)

The claim for contribution is based upon the settlement agreement in the Shadow Hills Action, in which the settlement amount was to be paid equally by the Coggis and the Lawsons, but was paid in full by the Lawsons. (PFAC, ¶¶ 51-54.) Pursuant to Code of Civil Procedure section 875, under principles of equity and fairness, the Lawsons are entitled to contribution of 50 percent of the amount paid by the Lawsons in settlement, i.e., \$50,000. (PFAC, ¶ 54.)

The claim for financial elder abuse arose ultimately from the same facts as the breach of contract action asserted by the Lawsons in their original complaint. The claim for contribution arises from the non-payment of a share of the settlement agreement obligations, which agreement is alleged in the original complaint. There is no evidence provided in this motion as to when the Lawsons first discovered the facts giving rise to these new causes of action or as to why the claims were not asserted earlier.

Trial is now set for September 2, 2026, with discovery cut-off dates based on that trial date. There is a different problem of prejudice with respect to the UVTA claim as compared with the financial elder abuse and contribution claims. Litigation of the UVTA claim necessarily involves the tracing of assets and the involvement of a new, foreign party. There is no evidence presented as to why the UVTA claim is necessary to this litigation, particularly where adding the UVTA claim would be substantial expansion of the scope of this litigation. (See Cal. Rules of Court, rule 3.1324(b)(2); cf. Estate of Murphy (1978) 82 Cal.App.3d 304, 311 [no abuse of discretion to deny amendment that substantially broadens the issues in the case without satisfactory explanation].)

The financial elder abuse claim is an extension of the breach of contract claim, based on promissory fraud arising from the same contract as the breach of contract claim. The contribution claim arises from equities in one party paying the whole settlement in the Shadow Hills Action. These claims do not appear to meaningfully expand the scope of the litigation and there would be no obvious substantial prejudice in adding these claims, but at the same time there is no explanation presented for the delay in adding these claims. (See Cal. Rules of Court, rule 3.1324(b)(3), (4).)

Taken together, the motion fails to make the necessary showing for the court to grant the motion. The motion for leave to amend will therefore be denied.

Judges

Judge Thomas Anderle

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